

Altman Z-Score

61.81

CREDIT RISK SUMMARY

Z-Score Zone

Safe (S)

CREDIT RISK SUMMARY

Implied Rating

AAA

CREDIT RISK SUMMARY

Periods

5

2 Quarterly · 3 Annual

SECTOR	INDUSTRY	COUNTRY	EMPLOYEES	WEBSITE
Technology	Software Infrastructure	US	221,000	https://www.microsoft.com

STRENGTHS

- Strong interest coverage (6.4x)
- Good liquidity (Current Ratio: 2.00)

WATCH ITEMS

- No critical watch items.

Metric	Actual	Threshold	Status	Signal	Notes
Interest Coverage	6.39x	>= 3.0	PASS	Strong	Comfortable buffer above threshold
Debt / EBITDA	--	<= 4.0	REACH (DATA MISSING)	Watch	Missing input
Current Ratio	2.00x	>= 1.2	PASS	Strong	Comfortable buffer above threshold
FCF / Debt	--	>= 0.05	REACH (DATA MISSING)	Watch	Missing input

Missing Inputs: Debt / EBITDA, FCF / Debt

Historical periods · 5 / YoY comparisons · 2

Historical periods · 25Q3, 24Q3, FY24, FY23, FY22

YoY comparisons · 25Q3 vs 24Q3 · FY24 vs FY23

Metric	25Q3	24Q3	FY24	FY23	FY22		Q3 vs 24Q3	%FY24 vs FY23	%	
EBIT	257.6	230.0	230.0	213.9	197.8		27.6	12.0%	16.1	7.5%
EBITDA	358.4	320.0	320.0	297.6	275.2		38.4	12.0%	22.4	7.5%
Total Debt	--	--	--	--	--		--	--	--	--
Debt / EBITDA	--	--	--	--	--		--	--	--	--
Interest Coverage	6.39x	6.39x	6.39x	6.39x	6.39x		-0.00x	-0.0%	0.00x	0.0%
Free Cash Flow	201.6	180.0	180.0	167.4	154.8		21.6	12.0%	12.6	7.5%
FCF / Debt	--	--	--	--	--		--	--	--	--
Current Ratio	2.00x	2.00x	2.00x	2.00x	2.00x		0.00x	0.0%	0.00x	0.0%

Historical periods · 25Q3, 24Q3, FY24, FY23, FY22

YoY comparisons · 25Q3 vs 24Q3 · FY24 vs FY23

Income Statement	25Q3	24Q3	FY24	FY23	FY22		Q3 vs 24Q3	%FY24 vs FY23		%
Revenue	1,881.6	1,680.0	1,680.0	1,562.4	1,444.8		201.6	12.0%	117.6	7.5%
Cost Of Revenue	1,164.8	1,040.0	1,040.0	967.2	894.4		124.8	12.0%	72.8	7.5%
Gross Profit	716.8	640.0	640.0	595.2	550.4		76.8	12.0%	44.8	7.5%
Research And Development	145.6	130.0	130.0	120.9	111.8		15.6	12.0%	9.1	7.5%
Selling General Admin	140.0	125.0	125.0	116.2	107.5		15.0	12.0%	8.8	7.5%
Operating Expenses	285.6	255.0	255.0	237.2	219.3		30.6	12.0%	17.9	7.5%
Operating Income	257.6	230.0	230.0	213.9	197.8		27.6	12.0%	16.1	7.5%
Non Operating Income	16.8	15.0	15.0	13.9	12.9		1.8	12.0%	1.1	7.5%
Interest Expense	40.3	36.0	36.0	33.5	31.0		4.3	12.0%	2.5	7.5%
Pretax Income	234.1	209.0	209.0	194.4	179.7		25.1	12.0%	14.6	7.5%
Income Tax Expense	32.5	29.0	29.0	27.0	24.9		3.5	12.0%	2.0	7.5%
Net Income	201.6	180.0	180.0	167.4	154.8		21.6	12.0%	12.6	7.5%
Depreciation And Amortization	100.8	90.0	90.0	83.7	77.4		10.8	12.0%	6.3	7.5%
Ebitda	358.4	320.0	320.0	297.6	275.2		38.4	12.0%	22.4	7.5%

Historical periods · 25Q3, 24Q3, FY24, FY23, FY22

YoY comparisons · 25Q3 vs 24Q3 · FY24 vs FY23

Balance Sheet	25Q3	24Q3	FY24	FY23	FY22		Q3 vs 24Q3	%FY24 vs FY23		%
Cash	39.2	35.0	140.0	130.2	120.4		4.2	12.0%	9.8	7.5%
Short Term Investments	16.8	15.0	60.0	55.8	51.6		1.8	12.0%	4.2	7.5%
Accounts Receivable	58.8	52.5	210.0	195.3	180.6		6.3	12.0%	14.7	7.5%
Inventory	23.8	21.2	85.0	79.0	73.1		2.6	12.0%	6.0	7.5%
Total Current Assets	145.6	130.0	520.0	483.6	447.2		15.6	12.0%	36.4	7.5%
Property Plant Equipment	179.2	160.0	640.0	595.2	550.4		19.2	12.0%	44.8	7.5%
Goodwill	50.4	45.0	180.0	167.4	154.8		5.4	12.0%	12.6	7.5%
Other Assets	44.8	40.0	160.0	148.8	137.6		4.8	12.0%	11.2	7.5%
Total Assets	420.0	375.0	1,500.0	1,395.0	1,290.0		45.0	12.0%	105.0	7.5%
Accounts Payable	36.4	32.5	130.0	120.9	111.8		3.9	12.0%	9.1	7.5%
Short Term Debt	25.2	22.5	90.0	83.7	77.4		2.7	12.0%	6.3	7.5%
Total Current Liabilities	72.8	65.0	260.0	241.8	223.6		7.8	12.0%	18.2	7.5%
Long Term Debt	64.4	57.5	230.0	213.9	197.8		6.9	12.0%	16.1	7.5%
Total Liabilities	196.0	175.0	700.0	651.0	602.0		21.0	12.0%	49.0	7.5%
Total Equity	224.0	200.0	800.0	744.0	688.0		24.0	12.0%	56.0	7.5%

Historical periods · 25Q3, 24Q3, FY24, FY23, FY22

YoY comparisons · 25Q3 vs 24Q3 · FY24 vs FY23

Cash Flow Statement	25Q3	24Q3	FY24	FY23	FY22		Q3 vs 24Q3	%FY24 vs FY23		%
Operating Cf	280.0	250.0	250.0	232.5	215.0		30.0	12.0%	17.5	7.5%
Net Income	201.6	180.0	180.0	167.4	154.8		21.6	12.0%	12.6	7.5%
Depreciation And Amortization	100.8	90.0	90.0	83.7	77.4		10.8	12.0%	6.3	7.5%
Stock Based Compensation	39.2	35.0	35.0	32.5	30.1		4.2	12.0%	2.5	7.5%
Change In Working Capital	-20.2	-18.0	-18.0	-16.7	-15.5		-2.2	-12.0%	-1.3	-7.5%
Investing Cf	-134.4	-120.0	-120.0	-111.6	-103.2		-14.4	-12.0%	-8.4	-7.5%
Capital Expenditures	-78.4	-70.0	-70.0	-65.1	-60.2		-8.4	-12.0%	-4.9	-7.5%
Free Cf	201.6	180.0	180.0	167.4	154.8		21.6	12.0%	12.6	7.5%
Financing Cf	-67.2	-60.0	-60.0	-55.8	-51.6		-7.2	-12.0%	-4.2	-7.5%
Dividends Paid	-50.4	-45.0	-45.0	-41.9	-38.7		-5.4	-12.0%	-3.1	-7.5%
Share Repurchase	-28.0	-25.0	-25.0	-23.2	-21.5		-3.0	-12.0%	-1.8	-7.5%
Ending Cash	156.8	140.0	140.0	130.2	120.4		16.8	12.0%	9.8	7.5%